

Question No.	Answer No.	Explanation of the reason									
1	(4)	Scarcity - inadequacy of resources with alternative uses relative to unlimited wants in every society. Since scarcity is Common, every society must choose.									
2	(3)	Production possibility curve can shift due to two reasons. Change in resource endowment and productivity. Decrease in unemployment is only a point moves towards the curve from inside.									
3	(2)	If resources are perfectly substitutable opportunity cost remains constant. Then ppc is a straight line.									
4	(5)	Micro economics studies the behaviour of individual economic units.									
5	(1)	A free good is a good provided by nature and its supply can not be controlled by humans.									
6	(3)	A free market economy is an economy in which market forces allocate under private ownership.									
7	(4)	A movement along the demand curve occurs due to the change in price while other factors remain constant.									
8	(1)	When the cost of production increases the profit level of firms falls. As a result they supply a lower quantity at the given price.									
9	(5)	When the total expenditure (PXQ) remains constant due to the change in price demand is unit price elastic.									
10	(4)	Price Quantity <table border="1"> <thead> <tr> <th></th><th>Before price floor</th><th>After price floor</th></tr> </thead> <tbody> <tr> <td>Consumer surplus</td><td>A + B</td><td>A</td></tr> <tr> <td>Producer surplus</td><td>D</td><td>D + B + C</td></tr> </tbody> </table>		Before price floor	After price floor	Consumer surplus	A + B	A	Producer surplus	D	D + B + C
	Before price floor	After price floor									
Consumer surplus	A + B	A									
Producer surplus	D	D + B + C									
11	(4)	YED is negative for inferior goods XED is negative for complementary goods.									
12	(1)	Price Quantity When demand is price elastic the relationship between price and total revenue is negative									
13	(2)	Consumer surplus falls from Producer surplus falls from Dead weight loss A + B + C to A E + F + G + H + H D + E									

Question No.	Answer No.	Explanation of the reason
14	(1)	When the government purchases under minimum price policy it is known as price supportive action.
15	(4)	Variable cost - Costs that change with the level of output. Fixed costs - Costs that do not change with the level of output in the short run. Total cost - Sum of fixed and variable costs.
16	(1)	Since the firms are price takers, the additional revenue added to the total revenue by an extra unit remains constant.
17	(4)	Monopolistic competition are market structures that a large number of firms offer differentiated products
18	(4)	Gross domestic product is calculated by taking the values of goods without intermediate goods within a given geographical area.
19	(1)	Since the actual output is greater than potential output level unemployment falls along with the rise in real income.
20	(2)	Intermediate goods, second hand goods, pure financial transactions like shares are not taken into account.
21	(1)	$\begin{aligned} \text{GDP}_{mp} &= C + G + I + NX \\ &= 2200 + 500 + 400 - 50 \\ &= 3050 \end{aligned}$ $\begin{aligned} \text{NDP}_{mp} &= \text{GDP} - (\text{depreciation}) \\ &= 3050 - 400 \\ &= \underline{2650} \end{aligned}$
22	(2)	$\begin{aligned} W &= J \\ S + T + M &= I + G + X \\ 1000 + 1200 + 500 &= I + 1500 + 400 \\ 2700 - 1900 &= I \\ \underline{800} &= I \end{aligned}$
23	(5)	Due to increase in government expenditure, AD increases Due to reduction in taxes private consumption increases.
24	(4)	$\begin{aligned} \Delta y &= k \times \Delta \text{ (autonomous expenditure)} \\ 500 &= k \times 100 \\ k &= 5 \\ k &= \frac{1}{1 - \text{Mpc}} \quad S = \frac{1}{1 - \text{Mpc}} \quad \text{Mpc} = \frac{4}{5} = \underline{0.8} \end{aligned}$
25	(3)	$\begin{aligned} \text{MV} &= \text{PT} \leftarrow \text{nominal GNP} \\ 100 \quad V &= 5000 \\ \underline{V} &= \underline{5} \end{aligned}$
26	(2)	Inflationary gap is the difference between actual output level and full employment level
27	(4)	$K = \frac{1}{20\%} = 5$ Since it is a banking system. money supply increases by 5 times = 5×100 $\underline{500}$
28	(5)	When the liquidity preference increases.
29	(5)	$\begin{aligned} \text{Money multiplier} &= \frac{\text{Money supply}}{\text{Reserve money}} \\ &= \frac{200 + 800}{200 + 100} = 3.33 \end{aligned}$

Question No.	Answer No.	Explanation of the reason									
30	(1)	Due to Reverse Repo transactions, More money will circulate in the banking system.									
31	(3)	Market failure arises due to inability of the market forces to allocate resources efficiently. Externalities are one of such failures.									
32	(3)	Social cost = private cost + external cost. Social benefits = private benefits + external benefits.									
33	(3)	Goods for which social benefits are greater than social cost are underproduced in a free market economy since externalities are ignored by the price mechanism.									
34	(2)	When subsidies are given, supply curve shifts to the right making new equilibrium price of P_1 .									
35	(1)	Fiscal policy is the manipulation of government tax revenue, government expenditure and government borrowings. When there is a recession, aggregate demand should be encouraged.									
36	(3)	Opportunity cost of <table> <tr> <th>Country</th><th>Food</th><th>Clothes</th></tr> <tr> <td>X</td><td>$\frac{20}{50} = 0.4$</td><td>$\frac{50}{20} = 2.5$</td></tr> <tr> <td>Y</td><td>$\frac{10}{20} = 0.5$</td><td>$\frac{20}{10} = 2$</td></tr> </table>	Country	Food	Clothes	X	$\frac{20}{50} = 0.4$	$\frac{50}{20} = 2.5$	Y	$\frac{10}{20} = 0.5$	$\frac{20}{10} = 2$
Country	Food	Clothes									
X	$\frac{20}{50} = 0.4$	$\frac{50}{20} = 2.5$									
Y	$\frac{10}{20} = 0.5$	$\frac{20}{10} = 2$									
37	(2)	$\begin{aligned} \text{CAB} &= \text{BOT} + \text{Net services} + \text{Net income} + \text{Net current transfer} \\ &= (11000 - 13000) + 200 + (-2000) + (-100) \\ &= \underline{\underline{-3900}} \end{aligned}$									
38	(4)	Positive balance of trade = value of exports > value of imports.									
39	(3)	Absolute advantage is not a necessary and sufficient condition for international trade, but comparative advantage is a must for international trade.									
40	(2)	When the domestic currency depreciates Sri Lankan goods become cheaper to Americans, and they buy more.									
41	(4)	Under a flexible exchange rate system, BOP will automatically reach equilibrium.									
42	(1)	When the Lorenz Curve moves away from the line of complete equity, inequality is higher.									
43	(1)	Purchasing power parity exchange rate is more realistic because its value is determined by a basket of goods and services rather than traditional NER.									
44	(2)	When savings are high, investment will also rise. But interest rate should decrease to encourage investment as the cost of borrowing is low.									
45	(3)	$\text{LFPR} = \frac{\text{Labour force}}{\text{Working age population}}$									
46	(2)	Real GNP shows the actual increase in income in a country.									
47	(3)	$\text{Dependency ratio} = \frac{\text{Non-working age population}}{\text{Working age population}}$									

48	(3)	HDI is a composite index introduced by UNDP in 1990 to measure health education & living standard
49	(4)	BRICS 
50	(2)	The highest poverty headcount index at present is Eastern Province.

Economics II - Model Answers

Sub Section A

(Select minimum of two questions from this Section)

1. (i) Factors of production which are scarce or limited in supply in relation to the infinite wants of the society are called economic resources.

- As scarcity is the fundamental characteristic of economic resources, utilization of economic resources have opportunity cost.
- Classification of economic resources.

• land • labour • capital • entrepreneurship.

[For classification without entrepreneurship allocate only one mark]

Alternative answer for classification.

property resources - natural resources and capital	}	essential
Human resources - labour and entrepreneurship		

- (ii) • The entrepreneur takes the initiative in combining the resources of land labour and capital to produce a good or a service.
- The entrepreneur makes the basic policy decisions. (They are non-routine decisions which set the course of a business enterprise)
- Introduction of innovations. (They introduce new products, organizations on a commercial basis.
- To bear risk.
- (iii) Productive efficiency. This means the production of any particular mix of goods and services in the least costly way. (Maximum output per unit of input or minimum amount of inputs per unit of output). This implies that the economy is on the production possibility curve with full employment and full production.

Alternative answer

Productive efficiency occurs when an economy cannot produce more of one good without producing less of another good. This implies that the economy is on the PPB

Allocative efficiency means that scarce resource are allocated to produce goods and services most wanted by society. This implies that the economy operates at the optimal point on the PPB. This optimal situation is achieved when the marginal cost of producing each good is equal to its price.

$MC = P$ or $MB = MC = P$.

Alternative answer

Productive efficiency means the production of all output combinations in the least costly way. This allows the economy to stay on PPB.

Allocative efficiency means that resources are being used to produce the goods and services most wanted by society. The economy is then located at the optimal point on its PPB where marginal benefits equal the marginal costs for each good.

- (iv) The value of the next best alternative sacrificed when we make a choice in production or consumption is called opportunity cost.
- Opportunity cost is subjective. Only the individual can estimate the expected value of the best alternative forgone.
 - Opportunity cost is measured in physical units not monetary units. It is sometimes called real opportunity cost to distinguish it from money cost.
 - Opportunity cost normally involves giving up some positive amount of one commodity in order to get more of another. Therefore, we describe this cost as being positive. However, there are few important exceptions where the opportunity cost becomes zero.
- The fact of scarcity implies that we must make choices. One of the most important results of this fact is that whenever you make a choice, you must sacrifice or forgo other opportunities. The opportunity not taken in making the decision is called the opportunity cost of the decision.

- (v) Differences between command and market economies.

Command economy	Market economy
- The centralization of decision taking	The decentralization of decision taking.
- Central planning	Price mechanism
- State ownership of property	Private ownership of property
- State enterprises.	Private enterprises.
- State monopoly	Free of enterprises and competition.
- Decision making based on social welfare	Decision making based on self interest
- State domination of the economy	Limited role of the government.
- Coercive incentives	Material incentives (profit)
- Minimum inequality	There is inequality in the distribution of income.
- No consumer sovereignty	There is consumer sovereignty

2. (i) The law of demand states that the quantity of a product in a given time period varies inversely with its price other things constant. Thus the higher the price, the smaller the quantity demanded, the lower the price, the greater the quantity demanded.
- There are two reasons for the downward - sloping demand curve
 - substitution effect.
 - income effect.

- (ii) At the equilibrium

$$Q_d = Q_s$$

$$50 - 5p = 10 + 5p.$$

$$60 = 10p.$$

equilibrium price $p = 6$

$$Q = 50 - 5p$$

$$= 50 - 5 \times 6$$

$$= 50 - 30$$

equilibrium quantity = 20

- (iii) PED at the equilibrium price

$$PED = \frac{\Delta Q}{\Delta P} \times \frac{P}{Q} = \frac{-5}{1} \times \frac{6}{20} = -\frac{3}{2} = -1.5$$

or

$$\text{alternative answer } \frac{b}{1} \times \frac{P}{Q}$$

$$\frac{-5}{1} \times \frac{6}{20} = -\frac{3}{2} = -1.5$$

- (iv) Total government expenditure under the guaranteed price scheme where the surplus production is purchased by the government.

Surplus output = Quantity supplied at Rs. 8 - Quantity demanded at Rs. 8

$$Q_s = -10 + 5 \times 8$$

$$= 30$$

$$Q_d = 50 - 5 \times 8$$

$$= 10$$

$$Q_s - Q_d$$

Surplus $30 - 10 = 20$ units.

$$\text{Government expenditure} = 20 \times 8 = 160$$

excess supply guaranteed price.

Or

Total government expenditure under the guaranteed price scheme where the deficiency payments method is implemented.

$$\text{Total Supply at Rs. 8 } Q_s = 10 + 5 \times 8 = 30$$

Market price when the quantity supply is 30 units

$$Q_d = Q_s$$

$$30 = 50 - 5p$$

$$5p = 20$$

$$p = 4$$

Deficiency payment per unit = guaranteed price - market price

$$= 8 - 4 = 4$$

$$\text{Government expenditure} = 30 \times 4 = 120$$

- (v) Consumer Surplus and producer surplus under the guaranteed price scheme when the surplus production is purchased by the government.

Consumer surplus.

price at which quantity demanded becomes zero

$$0 = 50 - 5p$$

$$5p = 50$$

$$p = 10$$

Guaranteed price Rs. 8.00

Quantity demanded at the guaranteed price

$$Q_d = 50 - 5 \times 8 = 10$$

$$\text{Consumer Surplus} = \frac{(10-8) \times 10}{2} = \underline{10}$$

Producer surplus.

Price at which quantity supplied becomes zero

$$0 = 10 + 5p$$

$$5p = 10$$

$$p = 2$$

Guaranteed price Rs. 8

Quantity supplied at the guaranteed price

$$Q_s = 10 + 5 \times 8 = 30$$

$$\text{Producer surplus} = \frac{8 - 2 \times 30}{2} = 90$$

- (iv) Consumer surplus and producer surplus under the guaranteed price scheme where the deficiency payments method is implemented.

- Consumer Surplus

- price at which quantity demanded becomes zero

$$0 = 50 - 5p = \underline{\text{Rs } 10}$$

- market price when the quantity supply is 30 units

- Quantity demanded at the market price of = Rs. 4.00

$$Q_d = 50 - 5 \times 4$$

30 units

$$\text{Consumer Surplus} = \frac{(10 - 4) \times 30}{2} = \frac{180}{2} = \underline{90}$$

Price at zero quantity - price of the good $\times$ quantity demanded at the market price

2

Producer surplus.

Price at which quantity supplied becomes zero

$$0 = -10 + 5p$$

$$= \text{Rs } 2.00$$

-Guaranteed price

$$= \text{Rs. } 8.00$$

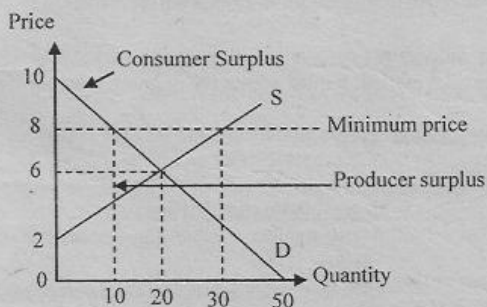
- Quantity Supplied at the guaranteed price

$$Q_s = -10 + 5 \times 8$$

$$= \underline{30}$$

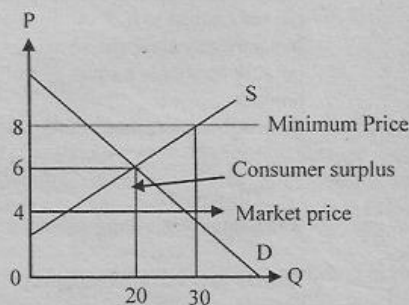
$$\text{Producer Surplus} = \frac{(8 - 2) \times 30}{2} = \frac{180}{2} = \underline{90}$$

Consumer surplus and producer surplus under the guaranteed price scheme where the surplus production is purchased by the government



$$\text{Consumer Surplus} = \frac{(10 - 8) \times 10}{2} = \underline{10}$$

Consumer Surplus and producer surplus under the guaranteed price scheme where the deficiency payments method is implemented



$$\text{Area of } \triangle ABC = \frac{(8 - 2) \times 30}{2} = \underline{90}$$

3. (i) The short-run production function for a particular commodity expresses the technical relationship between the rate of output and the rates of inputs of the variable elements of production, given the size of the plant and technical knowledge.

$$Q = f(K, L)$$

Alternative answer

Short run production function refers to the technical relationship between inputs and output when variable inputs are changed while holding plant size and technology fixed.

This function can be indicated by

$$Q = f(V_1, V_2, \dots, V_n, K)$$

- (ii) The "Law of Diminishing Returns" states that as a firm increases output in the short run by adding more of a variable input to its fixed factors, eventually the marginal and average product of the variable inputs will begin to fall.
- Short run cost curves are a reflection of the law of diminishing marginal returns.
 - Given any constant price of the variable inputs, marginal costs decline as long as the marginal physical product of the variable input is rising. At the point at which diminishing marginal returns begin, marginal costs begin to rise as the marginal physical product of the variable input begins to decline.
 - Of course, the average total cost curve and the average variable cost curve are affected. They will have their familiar U-shape in the short run.
- (iii) Accounting Cost - The direct cost or the cost incurred on the factors of production purchased from outside by a firm.
- Economic cost is the sum of direct cost and implicit cost.

Alternative answer

The opportunity cost of all the inputs used in the production process is included in economic cost but accounting cost includes only the costs incurred on inputs purchased from outside. Hence accounting cost gives an under estimation of the opportunity cost of production.

- (iv) **Price maker -**

- A firm that has the power to set its price rather than taking the price set by the market is called price maker.
- A firm operating in a monopolistic and imperfectly competitive markets has the power to set its price without losing its entire share of the market.
- Such a firm faces a down ward - sloping demand curve.

Price taker.

- An individual seller who cannot influence the market price and is able to sell as much as desired at that price is called a price taker. An individual seller cannot adjust market price but can only adjust to it.
- In a perfectly competitive market, an individual firm cannot influence the market price because he is only a small part of the total market. It must accept the ongoing price for its product.
- Such a firm faces an infinitely elastic demand curve.

- (v) Oligopoly verses monopolistic Competition.

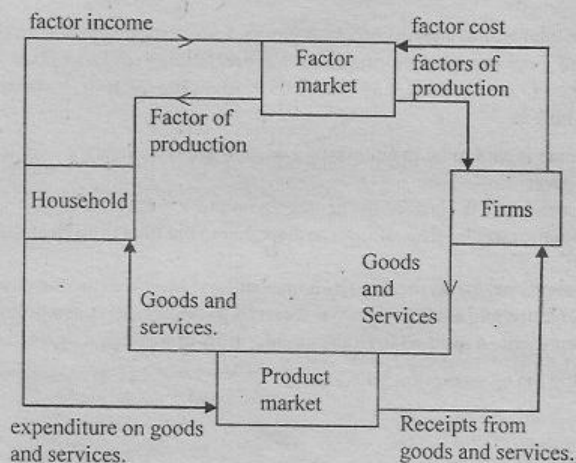
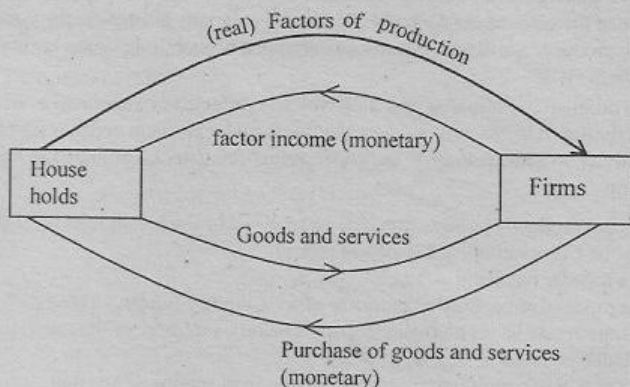
Oligopoly

- A few large firms dominate the market
- Product may be differentiated or homogeneous.
- Heavy mutual interdependence among oligopolists.
- There are various barriers to entry
- oligopoly often leads to collusion
- economic profit in the long run

Monopolistic competition

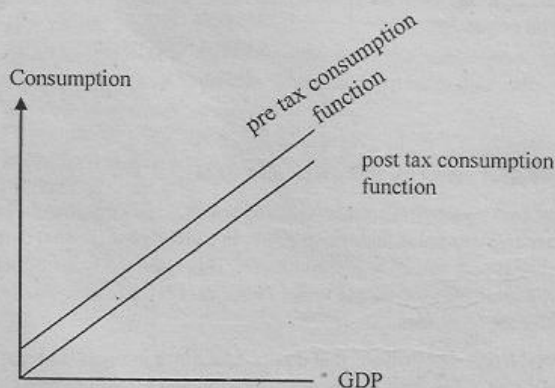
- a large number of small firms operate in the market
- each firm has a distinctive or differentiated product.
- There is no feeling of mutual interdependence among firms.
- easy entry.
- firms act independantly
- normal profit in the long run.

4. (i) The circular flow model can be presented in different forms.



- Correct indication of real flows with directions.
 - Correct indication of monetary flows with directions.
- (ii) Production and income generation are two sides of one process - production generates incomes. The value of total output at factor cost prices in a given year is equal to the total income received by those who contributed to its production. Therefore the value of output is equal to the income. The value of the total output under factor cost price is necessarily equal to the income earned from those factors.
- (iii)
- GDP ignores productive transactions that do not take place in organised markets. The most important example is services such as cleaning, cooking and providing free child care that people do for themselves in their own homes.
 - The production of goods for own use also does not enter an organised market. Because these goods and services are not transferred through markets, GDP statisticians cannot measure them. (subsistence economic activities)

- GDP ignores the underground economy where transactions are not reported to official authorities. The underground economy is the part of the economy that is purposely hidden from the view of the government to avoid taxes and regulations or because the goods and services being produced are illegal. Because underground economic activities are unreported, it is omitted from GDP.
 - It is a serious problem in estimating the GDP which is expected to measure the value of all productive activities in the economy. The seriousness of the problem depends on the actual size of the activity. In some countries, the underground economy is estimated as about 30% of the economy.
- (iv) (a) Included it is a productive transaction income received by the bondholder for the services derived by the Corporation for the loan of money.
- (b) excluded a transfer payment.
- (c) Included a productive transaction purchase of an insurance is a final service.
- (d) excluded transaction based on financial papers merely a transfer of the ownership of existing financial assets.
- (e) included a productive transaction payment for the final service of housing.
- (v) GNP at market price
 = wages + interest incomes + corporate profits + property incomes + incomes of self-employed + net foreign factor incomes + depreciation + (indirect taxes + subsidies)
 = 225 + 55 + (72 + 18 + 16) + 34 + 80 + 05 + 40 + (25 - 20)
 = Rs. 550 billion.
5. (i) • National income is said to be in equilibrium when there is no tendency for it either to increase or to decrease
- Aggregate expenditure is equal to the aggregate output $Y = E$
 - Leakages from the circular flow of income are equal to the injections in to the circular flow.
 $W = J$
- (ii) A leakage represents payments received by household and firms that are not passed on through their spending. Household saving is income received by household consumption expenditure. Savings thus represents a leakage from the circular flow or aggregate demand.
- (iii) A graph showing the consumption schedule.



pre tax consumption function

$$C = 24 + 0.8y$$

Y	0	100	200	300	400	500	600
C	24	104	184	264	344	424	504

$$C = a + hy$$

$$a = 40$$

$$b = \frac{\Delta c}{\Delta y} = \frac{80}{100} = 0.8$$

$$C = 40 + 0.8y$$

Post - tax consumption function

$$C = a + hy_d$$

$$= a + b(y - T)$$

$$= 40 + 0.8(y - 20)$$

$$= 40 + 0.8y - 16$$

$$= 24 + 0.8y$$

6. (i) Transaction motive
precautionary motive
speculative motive
- (ii) Assets that fulfil adequately the store of value function of money and are readily converted into a medium of exchange but are not themselves a medium of exchange are called near money.

Near money included in monetary aggregates M4

- Time and saving deposits held by the public with commercial banks.
- One half (50%) of NRFC deposits
- Resident's deposit with offshore banking units.
- Deposits held by public with licensed specialized banks
- Deposits held by public with licensed Finance Companies.

(iii) (a) Balance Sheet		(Figures in Rs. Billion)	
<u>Liabilities</u>		<u>Assets</u>	
Deposits	1000	Reserves	200
		Loans	800
Total	<u>1000</u>	Total	<u>1000</u>

(b) Actual reserves Rs. 200 billion

$$\text{Required reserves} = 1000 \times \frac{12}{100} = 120 \text{ billion}$$

$$\text{Excess reserves} = 200 - 120 = \text{Rs. } 80 \text{ billion}$$

$\therefore$ the largest loan the bank can make = Rs. 80 billion

- (iv) - Currency drains from the banking system to non - bank financial institutions.
- increase in people preference for currency.
- Bank's willingness to keep excess reserves.
- Lack of demand for credits.
- (v) - To contract money supply, the central bank must sell the securities in the open market. The sale of securities has the effect of withdrawing liquidity from the banking system.
- When the Central Bank sells its securities to Commercial Banks, the reserve money (high powered money) of the commercial banks will be reduced. Thus commercial banks ability to give loans will be weakened.
7. (i) (a) **Global public good.**
- public goods that generate world wide benefits are called global public goods.
Examples : global warming prevention, ozone layer prevention disease eradication, knowledge generation world court.

(b) **Common resources.**

- a common resource is rival and non - excludable in consumption.

Examples : fishing grounds , common grazing land, clean air, clean water.

(c) **Quasi - public goods.**

Quasi - public goods, are excludable but there is no rivalrous in consumption until consumption reaches the capacity level.

Examples - museums, art galleries, public parks, roads and bridges, scenic views.

- (ii) The statutory incidence of a tax indicates who is legally responsible for the tax. The economic incidence of a tax is the change in the distribution of private real income included by a tax. The extent to which statutory and economic incidence differ depends on the amount of tax shifting. When the tax is not shiftable, the statutory incidence and the economic incidence would be identical.
- (iii) Neutrality of taxation means that taxes should not interfere with or influence or distort economic decision making. Neutral tax does not create an excess burden.

Alternative answer.

Tax that does not cause households or firms to shift their economic choices such as to choose among different goods, inputs location etc, is called a neutral tax.

- (iv) - Primary deficit is the difference between overall budget deficit and the interest payments.

Alternative answers.

- Primary deficit is the difference between total government revenue including grants and total government expenditure less interest payments.

- Net cash deficit - is the difference between total government receipts (revenue and grants) and total government expenditure excluding contributions to sinking funds, direct repayment of public debt and subscription to international financial organizations.

- (v) -Profits and dividends of public enterprises.

- Rent

- interest

- National lottery

- Central bank profit transfers.

- fees and administrative charges.

- Social security contribution.

- sale of capital goods

- fees

.8. (i) **Differences in factor endowment**

Differences in tastes

Economics of scale

- Technological changes and innovations

- Location

- Specialization

- Product differentiation

- Government policies.

- initial conditions (first mover advantage).

(ii) **Current account**

- Goods account

- services account

- Income account

- Current transfers account

Capital and Financial account**Capital account**

- Capital transfers
- Acquisition or disposal of non-produced, non-financial assets.

Financial account

- Direct investment
- Portfolio investment
- Other investment (loans)
- Reserve assets.

- (iii) The terms of trade indicate how much of one product must be exported in order to obtain a unit of an imported good.
- Terms of trade is based on the relative prices of exports and imports whereas the balance of trade is based on the value of exports and imports.
- (iv) Role of WTO
- Trade negotiations
 - Implementation and monitoring WTO agreements require governments to make their trade policies transparent by notifying the WTO about laws in force.
 - Dispute settlement. The WTO's procedure for resolving trade quarrels under the Dispute settlement understanding.
 - Building trade Capacity. WTO has provided special provision for developing countries, including longer time periods to implement agreements and commitments, measures to increase their trading opportunities and support to help them build their trade capacity.
 - Outreach - WTO maintains regular dialogue with NGO's parliamentarians other international organizations the media and the general public on various aspects of WTO
- (v) Managed floating exchange rate attempt to combine market determined exchange rates with foreign exchange market intervention in order to take the advantage of the best features of floating exchange rates and fixed exchange rates.
- Under this the monetary authority determines the fixed exchange rate for domestic money unit and is allowed to float between a range.
 - Under a managed floating exchange, a country's central bank actively manages its exchange rate buying its own currency to prevent depreciation, and selling its own currency to prevent appreciations.
 - Rather than permitting a clean float to occur Central Banks intervenes into foreign exchange market to prevent large variations in exchange rate. This is considered a dirty float, because the free market forces of demand and supply were not allowed to achieve their equilibrating role.
 - Under a managed float, market intervention is used to stabilize exchange rates in the short run; a managed float allows market forces to determine exchange rates.

9. (i) **Economic growth rate**

The percentage change in real GDP or GNP between two time period is expressed under this Economic growth

an expansion of the production Capacity or the potential output of the economy over time. It is a dynamic process in which supply, demand and efficiency factors all interact.

Rate of economic growth measures the actual rate of change of output whereas economic growth measures the growth of the potential output capacity of the economy.

(ii) **Increase in resource endowment**

- physical capital
- natural capital
- human capital
- social capital

Increase in productivity

- improvement in technology
- innovations
- increase in Research and Development
- Improvement in management

Economic stability

- entrepreneurial ability
- incentives
- Good governance
- political stability

- (iii) • HDI is an aggregate measure and thus it does not indicate the internal disparities in development.
- HDI does not take into account every aspect of human development.
Eg: participation, political freedom, human security
- Equal weight is given to each of the three main components.
- There is no attention to the role of quality.
Eg: quality of school education, quality of health
- In estimating education only the enrolment in primary education is taken into account the drop outs are not taken into account.
- The environment aspects that affect development are not taken into account.

- (iv) Incidence of multinational poverty

5.3%	(2003 UNDP)
7.0%	(2006 / 7 IPS)
4.7%	(2009 / 10 IPS)

Alternative answer

2003 0.021

Contribution of different components to multi-dimensional poverty.

	<u>2003</u>	<u>2009/10</u>
Inadequate nutrition	33%	25%
No electricity	9%	8%
No drinking water	8%	3%
Inadequate assets	13%	8%

- (v) Government policies

- Gama Neguma
- Maga Neguma
- Regionally focussed development initiatives (Uthuru Wasanthaya, Neginahira Navodaya, Rajarata Navodaya, Wayamba Pubuduwa, Pubudamu Wellassa, Kandurata Udanaya, Sabaragamu Arunalokaya, Ran Aruna)
- Nenasala (IT centres) programme.
- Rehabilitation of 10,000 tanks, Dahasak Maha Wewu programme.
- Divi Neguma
- Rural electrification programme.

10. (i) • Slow growth of Sri Lankan exports in the US and Euro zone markets.
- The Sri Lankan manufacturing and tourism sectors are quite dependant on Europe and as a result could face a severe downturn. The apparel industry for instance depends on the European Union for 50% of its exports and over 42% of tourist arrivals in Sri Lanka are from Europe
- Flow of remittances would be affected as Euro zone alone contribute to 17% of remittances to Sri Lanka.

- Fragile financial markets and weak investor confidence would discourage FDI and portfolio investment flows to Sri Lanka.
 - The recession in the US and the Euro zone has affected the economic growth in the emerging economies particularly China and India which are close trading and investment partners of Sri Lanka.
 - Aggravating the external assets position in the country compelling to borrow from commercial sources and IMF
 - Slow growth of exports could lead to an adverse trade balance which in turn results in a depreciation of rupee. The balance of trade of USD 10 billion already exists.
 - The recession in the major industrial countries has reduced the demand for oil resulting a downward pressure on world oil prices. The oil importing countries including Sri Lanka will benefit from this.
- (ii) Non-compliance statutory obligations
- Absence of corporate/business plan
 - Non-submission of annual reports.
 - Non-responsiveness to audit queries
 - Non-responsiveness to COPE recommendations.
 - Lack of capacity of the Chairman and Boards of Management.
- Procurement violations
 - Financial misappropriation, corruption, wastage, recession
 - Unsatisfactory recovery of debts and receivables.
 - Weak labour relationship between employees and Management
 - Politicization
- (iii) -The development policy of Sri Lanka implemented in the period 1977-2004 was based on the neo-liberal economic policy framework. The present government rejected the neo-liberal economic policy and adopted home grown nationalistic policies.
- 1977-2004 policy gave more emphasis on exported growth strategy. The current economic policy gave greater emphasis to domestic agriculture and rural infrastructure development.
 - Privatization of state enterprises was a key policy of the government during the 1977-1994 period. Present government rejected the privatization programme.
 - 1977-2004 policy was heavily dependent on the private investment and market forces. The role of the government was reduced. Under the current policy the government has assumed a major role in the economy.
 - 1977-2004 policy emphasized the overall economic growth with less emphasis on its distributional impact. The present policy placed more emphasis on economic growth with regional dimension.
 - 1977-2004 policy was on outward-looking development strategy heavily emphasizing exports. The present development, strategy emphasized a policy of greater degree of import substitution in food.
- (iv) The Divi Neguma programme was introduced by the 2011 budget to support household units to be self-sufficient financially secure and rely less on the market for their daily food requirements.
- The prime objective of the Divi Neguma programme is to strengthen people's economic status and minimize their dependence on the market for food requirements. The programme further aims to
- improve nutritional levels.
 - reduce cost of living in households
 - increase per capita vegetable consumption from 134g to 175g per day
 - create new income generation sources for families by selling excess production
 - encourage entrepreneurship at the village level

- Agriculture is the first phase of the programme which mainly focuses on creating one million home gardens. 100 households units are chosen per Grama Niladhari Division based on household's interest in participating in the programme.
- home gardening vegetables and fruit cultivation creation of environmental friendly atmosphere. Cottage industries are expected under this.
- The government provides seeds, fertilizer, and advisory services to begin home gardens.
- Under the second phase of this programme in 2011 October, more attention is focussed on cottage industries, self-employment, fisheries and poultry farming.
- The Divi Neguma projects had been implemented with 2.5 million households by this time. It is implemented in all districts except Kilinochchi.

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